SMALL BUSINESS ADMINISTRATION (SBA 7A & 504) UNDERWRITING POLICY

CREDIT RISK STANDARDS, GUARANTY FEES & ELIGIBILITY GUIDELINES

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SECTION 1: SBA 7(A) LOAN PROGRAM ELIGIBILITY & MAXIMUM LIMITS

1.1 Maximum Loan Size:

The statutory maximum loan amount for an SBA 7(a) standard loan facility is $5,000,000 USD.
For SBA Express loans, the maximum limit is strictly capped at $500,000 USD.

1.2 SBA Guaranty Percentage Schedule:

- Loans up to $150,000: SBA provides a maximum 85% government guaranty to the lending bank.
- Loans above $150,000 up to $5,000,000: SBA provides a maximum 75% guaranty.
- SBA Express Loans: SBA provides a 50% fixed government guaranty.

1.3 Minimum Credit Score & Personal Guarantee Requirements:

- Minimum Small Business Scoring Service (SBSS) score of 155 for loans under $500,000.
- Minimum Personal FICO score of 680 for all principal owners and key guarantors.
- Unconditional personal guarantees mandatory for every individual holding 20% or more equity ownership.

SECTION 2: CASH FLOW UNDERWRITING & EQUITY INJECTION REQUIREMENTS

2.1 Debt Service Coverage Ratio (DSCR) Benchmark:

- Minimum historical and projected global DSCR of 1.15x is required for all small business term loans.
- Global cash flow analysis must combine both business operating cash flow and personal owner cash flow.

2.2 Minimum Equity Injection Requirements:

- Start-up businesses (operating under 2 years): Minimum 10% cash equity injection of total project costs.
- Complete Business Acquisition (Change of Ownership): Minimum 10% equity injection mandatory.

2.3 Allowable Loan Maturities:

- Working Capital Lines and Inventory Loans: Maximum maturity of 10 years.
- Equipment and Machinery Financing: Up to 10 years (or useful economic life of the asset).
- Owner-Occupied Real Estate (at least 51% occupied by borrower): Maximum maturity of 25 years.

2.4 Prohibited Business Types & Ineligible Entities:

- Real estate speculation, gambling establishments, payday lenders, and pyramid distribution entities.